

UMA STRATEGY INDIVIDUAL INTERVIEW - SPRING 2026

Case Study: Chili's Grill & Bar

Background:

Our client is Chili's Grill & Bar (Chili's), an American casual dining restaurant chain founded in 1975, known for their value messaging. While similar chains like Red Lobster or TGI Fridays have faced bankruptcy or massive closures, Chili's has seen massive growth, achieving six consecutive quarters of double-digit same-store sales growth. They have a global reach, with over 1,600 locations worldwide, operating in 28 countries. There are two primary reasons behind their success

Value Messaging

- Chili's has highlighted its value compared to its fast-food competitors, demonstrating that a sit-down meal at Chili's is cheaper and of higher quality than fast food locations. They have routinely run promotions like their "3 for Me" campaign, which gives a beverage, starter, and entree for \$10.

Triple Dipper

- Chili's Triple Dipper appetizer has gone viral for its variety and delicious cheese pulls. It costs less than \$20 for three different appetizers, and is a popular dish for sharing and trying multiple items. It now accounts for nearly 14% of their total sales.

To maintain growth in 2026, Chili's must decide whether to continue its value strategy or pivot toward premiumization to protect its profit margins.

Overarching Challenge:

How can Chili's sustain its cool factor and traffic momentum among Gen Z without becoming overly reliant on low-margin value deals that could hurt long-term profitability?

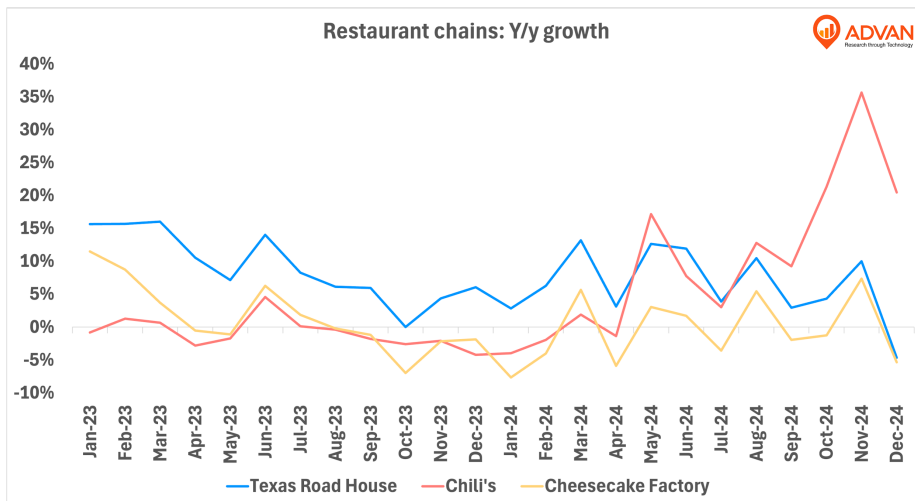
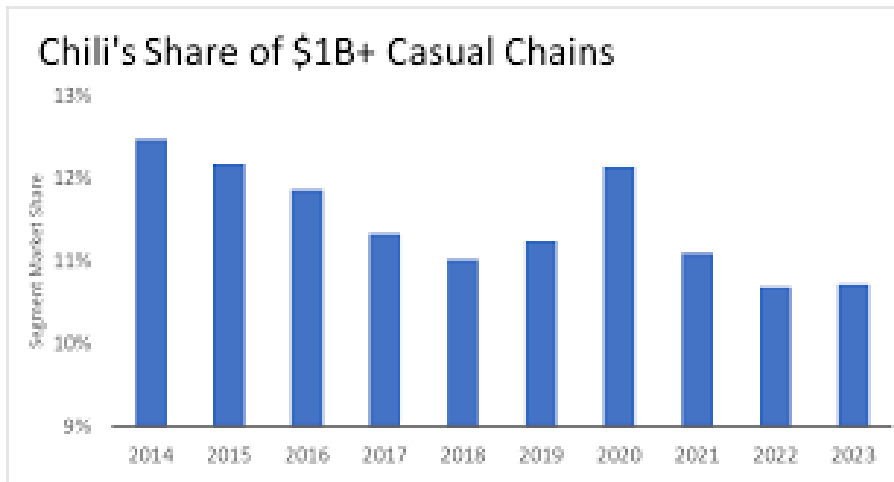
You'll have 15 minutes to answer the following questions. It is up to you to decide how long to spend on each one. You may use the charts if you wish, but they are not a requirement.

Question 1: Chili's spends \$5 million on a social campaign that reaches 100 million people. As a result of the campaign, what percent of people do you think will convert to a visit? Based on this, will the campaign pay for itself? Assume each guest spends \$20 for each visit.

Question 2: The Triple Dipper appetizer went viral on TikTok, creating a trend for people to visit Chili's. This has become a core part of their brand; however, trends fade quickly. Suggest strategies to convert these one-time viral visitors into long-term customers.

Question 3: Gen-Z is known to prefer delivery, with the percentage of Gen-Z users who use sites like DoorDash, GrubHub, and Uber Eats, rising each year. With Chili's emphasis on in-person dining, suggest strategies for ensuring Gen Z enters the restaurant.

Resources:



Chili's Stock Price over 5 years

